

Sanctions Look-Through Alert

Problem

A UCITS ETF contains a small holding in a newly sanctioned security.

Regulatory Requirements

Sanctions monitoring, AML/KYC, SSMS Funds.

Options Considered

A: Ignore immaterial exposure. B: Flag ETF as tainted. C: Flag with component weight.

Decision

Flag ETF with sanctioned component weight.

Reasoning

Look-through transparency allows risk-based client decisions.

Risks

False positives, reputational risk, urgent client queries.